



BEFORE THE U.S. COPYRIGHT OFFICE

ADDITIONAL COMMENTS OF THE OWNERS' RIGHTS INITIATIVE ON SECTION 1201

The Owners' Rights Initiative (ORI) is an organization of over 20 companies and associations that have joined together to protect ownership rights in the United States. We believe in the fundamental premise that **if you bought it, you own it**, and should have the right to use, sell, lend, or give away your personal property. ORI formed when the *Kirtsaeng v. Wiley* case was pending before the Supreme Court. We now are dedicated to preserving that holding, and to making sure that the rights of intellectual property owners do not inappropriately interfere with the personal property rights of consumers, businesses, and non-profit institutions that own products incorporating intellectual property.

We appreciate this opportunity to provide additional comments on Section 1201 of the Digital Millennium Copyright (DMCA). We are pleased that the Copyright Office appears to be considering recommending that Congress make permanent some of the temporary exemptions granted repeatedly during the triennial rulemaking.

Before addressing the specific questions raised in the Office's request for additional comments, we reiterate the point we made in the opening round of comments: the source of the problem with Section 1201's overbreadth is the wording of the prohibition on circumvention in Section 1201(a). The Federal Circuit interpreted Section 1201(a) as requiring a nexus between circumvention and infringement before circumvention liability could attach. In *Chamberlain v. Skylink*, 381 F.3d 1178 (Fed. Cir. 2004), the Federal Circuit found that the circumvention of the TPM on the software in a garage door opener motor by the manufacturer of universal garage door opener remote controls did not violate the DMCA because there was no possibility of infringement. The Sixth Circuit concurred with this interpretation in *Lexmark v. Static Control Components*, 387 F.3d 522 (6th Cir. 2004). However, the Ninth Circuit rejected this approach in *MDY v. Blizzard*, 629 F.3d 928 (9th Cir. 2010). Judge Donald's dissent in *U.S. v. Reichert*, 747 F.3d 445 (6th Cir. 2014), discussed these "competing interpretations" of Section 1201(a) at length.

Because the Supreme Court is unlikely to resolve this circuit split in the near future, the Copyright Office should recommend that Congress amend the DMCA to

explicitly require a nexus between circumvention and infringement, as *Chamberlain* does. Alternatively, the Office could recommend that Congress adopt a permanent exception for the circumvention of TPMs on software essential to the operation of hardware. In other words, the Copyright Office should recommend far broader amendments to Section 1201 than indicated in the request for additional comments. The narrow, cautious approach the Office appears to be following guarantees that the Office and Congress will need to revisit the innovation-inhibiting impact of Section 1201 whenever a new technology is developed.

1. Proposals for New Permanent Exemptions

b. Device Unlocking

ORI supports a permanent exemption to permit the unlocking of wireless devices from specific networks. This is a problem that will only grow as more devices are connected to the Internet of Things. If a person unlocks a device in violation of a contract, the network provider has contractual remedies. If a person infringes copyright after unlocking a device, the rights holder has copyright remedies. Thus, the burden and uncertainty of the triennial rulemaking exceeds any possible harm that could result from a permanent exemption.

The permanent exemption should be worded more broadly than proposed in the request for additional comments. It should apply to all wireless devices. By enumerating categories of wireless devices, the Copyright Office is favoring some categories of devices over others—in particular, existing types of devices over those devices that may be invented in the future. It makes more sense to exempt all wireless devices, and then exclude individual kinds of devices if problems arise with them.

c. Computer Programs

ORI is gratified that the Office is closely examining a permanent exemption relating to the circumvention of technological protection measures (TPMs) restricting access to computer programs that enable the operation of a machine or device. At the very least, such an exemption should permit diagnosis, maintenance, repair, and modification.

We urge the Office, however, to recommend categorically excluding software that enables the operation of a machine or device from the scope of Section 1201. The circumvention of access controls on programs embedded in hardware are far removed from the protection of creative expression that Section 1201 was intended to address. The Office correctly acknowledges “the congressional intent in supporting new ways of disseminating copyrighted materials to users.” Congress enacted Section 1201 in 1998 to promote the online distribution of content. Restricting the ability of consumers to access the software that enables the operation of a machine they own thus has nothing to do with the original objectives of Section 1201 of encouraging the development of a digital

marketplace. It nonetheless has had the unintended anti-competitive effect of allowing manufacturers to exercise long term control over the use of products they have sold.

While diagnosis, maintenance, repair, and modification are all important activities that should be permitted, this list excludes at least one equally critical activity: transfer of ownership. The software in a device may allow only an authenticated user to operate the device. Those engaged in the secondary market for such products should be allowed to circumvent the TPM on the software for the purpose of changing the authenticated user.

Any list of permitted purposes for circumvention inevitably will be under-inclusive. Thus, given the low probability of infringing activity, ORI believes the better approach would be to categorically exclude computer programs that enable the operation of a device or machine from the scope of Section 1201.

d. Obsolete Technologies

ORI supports a permanent exemption for the circumvention of obsolete access controls. As the request for additional comments notes, the Librarian already has adopted multiple exemptions relating to obsolete access controls. As time passes, the number and kind of such controls will only grow. Because circumvention of obsolete controls causes no harm to any legitimate rights holder interest, a permanent exemption for the circumvention of obsolete access controls should be adopted.

e. International Considerations

The adoption of additional permanent exemptions may require renegotiation of the anti-circumvention provisions of some of our free trade agreements. Given that during the original negotiations our trading parties sought more flexibility concerning exemptions, they likely would not object to modifying the agreements to permit the adoption of additional permanent exemptions. Nonetheless, our trade negotiators should learn the lesson of avoiding such rigid, restrictive language concerning exceptions in future negotiations.

2. Proposed Amendments to Existing Permanent Exemptions

e. Interoperability

The Copyright Office's request for additional comments states that "Section 1201(f) permits circumvention for the 'sole purpose' of identifying an analyzing elements of computer programs necessary to achieve interoperability." It also repeats the Register's conclusion in the 2015 rulemaking that Section 1201(f)(1) does not address circumvention after performance of such analysis.

While the Office is correct that Section 1201(f)(1) does not address circumvention that occurs after the reverse engineering performed for purposes of identifying elements necessary for interoperability, it overlooks Sections 1201(f)(2) and (3). These subsections

make clear that software that enables interoperability can be developed and distributed to users, who can then use that software. Specifically, Section 1201(f)(2) states that “notwithstanding the provisions of subsections (a)(2) and (b), a person may develop *and employ* technological means to circumvent a technological measure, or to circumvent protection afforded by a technological measure, ...for the purpose of enabling interoperability of an independently created program with other programs....” Section 1201(f)(3) provides that “the means permitted under paragraph (2) may be made available to others...solely for the purpose of enabling interoperability of an independently created program with other programs....”

Moreover, in her 2003 recommendation in the second rulemaking cycle, the Register read section 1201(f) more expansively than in 2015 rulemaking. In describing how “§ 1201(f) exception goes far beyond an exemption for § 1201(a)(1)(A),” the Register stated that “Subsection 1201(f)(2) allows, under specified circumstances, the development *and employment* of the ‘technological means to circumvent a technological measure’ that might be prohibited by §§ 1201(a)(2) and (b).”¹ She added that “§ 1201(f)(3) allows those means to be made available to others....”² She later asserted “if reverse engineering is conducted under the statutory exemption, a competitor may not only reverse engineer a computer program in order to create an independently interoperable computer program, but may also make the information or means of interoperability available to others....”³

Thus, amendment of Section 1201(f) to permit circumvention after reverse engineering has been performed is unnecessary; Sections 1201(f)(2) and (3) already allow this. However, given the Register’s pronouncements to the contrary in several

¹ REGISTER OF COPYRIGHTS, RECOMMENDATION ON RULEMAKING ON EXEMPTIONS FROM PROHIBITION ON CIRCUMVENTION OF COPYRIGHT PROTECTION SYSTEMS FOR ACCESS CONTROL TECHNOLOGIES 180 (Docket No. RM 2002-4, Oct. 27, 2003), *available at* <http://www.copyright.gov/1201/docs/registers-recommendation.pdf> (emphasis supplied). The Register made these observations in the course of recommending against an exemption sought by Static Control Components during the course of its litigation with Lexmark. She asserted that an exemption was not necessary because “it appears that the congressional scheme sufficiently enables the noninfringing use sought without requiring the assistance of an exemption in this rulemaking.” *Id.* at 177. After describing 1201(f)’s provisions and purpose (“to foster competition and accommodate the reverse engineering of computer programs to allow the creation of interoperable original computer programs”), the Register noted that section 1201(f) “has the capacity to satisfy interoperability with computer programs, such as the Printer Engine Program, in the marketplace as opposed to an exemption in this rulemaking which would be limited to individual acts of circumvention, without providing any ability to make such interoperability available to others.” *Id.* at 180.

² *Id.*

³ *Id.* at 181.

rulemakings, the Office should once again explicitly articulate its earlier correct interpretation of Section 1201(f) in the 2003 rulemaking.⁴

3. Anti-Trafficking Provisions

The request for additional comments recognizes a flaw at the heart of the rulemaking: under the plain language of Section 1201(a)(1), the exemption granted pursuant to Section 1201(a)(1)(C) does not apply to the anti-trafficking provision of Section 1201(a)(2). Read literally, a person granted an exemption to circumvent would not be able to manufacture a circumvention tool, nor would have any way of obtaining such a tool from a third party. This, of course, is an absurd result. The Office as a practical matter has addressed this absurdity by “splitting the baby:” interpreting the statute as allowing a person to develop a tool solely for his own exercise of an exemption, but prohibiting all third-party development of circumvention tools.

While permitting the making of a tool for one’s own use is better than the complete ban on tools, most users do not have the ability to develop their own circumvention tools.

Accordingly, Section 1201(a) should be amended to provide an exception to the anti-trafficking provision for the purpose of making and distributing tools necessary to exercise an exemption. The concern that such an exception may result in tools being used for unauthorized purposes has little validity. The widespread availability of tools from unlawful sources means that the anti-trafficking prohibition currently only chills legitimate activity by law-abiding persons. Creating an exception to the anti-trafficking provision, therefore, would not lead to additional unlawful activity.

⁴ If after further study of this issue the Office decides that clarification of Section 1201(f) is advisable, ORI is happy to work with the Office to fashion appropriate language.